ADVANTAGES

1. It helps to compare the relative efficiencies and cost of operating different machines.
2. It is most scientific, practical and accurate method of recovery of manufacturing overheads.
3. It provides ready method for measuring the cost of idle machines.

DISADVANTAGES

1. It involves additional work in assessing the working hours of machines and thus it is a costly method.
2. It gives inaccurate results if manual labour is also used.

Rates of Depreciation (for Income-Tax)
Specified in Finance Act, 2018

Block of Asset	Depreciation Allowances as % on WDV
PART-A (Tangible Assets)	
1. Building (Residential, Hotel, Boarding Houses)	5%
2. Building (Commercial – Other than residential)	10%
3. Furniture & Fittings	10%
4. Plant & Machinery	
➢ Machinery & Plant (General)	15%
➢ Vehicles (Non-commercial)	15%
➢ Vehicles (Commercial) - Motor car, Lorry, Trucks	30%
5. Ships	20%
PART-B (Intangible Assets)	
I. Know - how patents, copy rights, trade marks, licences, franchises or any other business or commercial rights of similar nature.	25%
Plant & Machinery	
1. Motor Car	15%
2. Aeroplane	40%
3. Motor Bus, Lorry	30%
4. Life Saving – Medical Equipment	30%
5. Surgical / Medical Equipment	40%
6. Computer / Computer Software	40%
7. Books – Annual publication, library	40%

To Think:

- Depreciation is not provided on Land why? But appreciated…..
- Depreciation is not provided on Gold, Silver and Diamond why? But appreciated

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